Ch. 31 CW

Principles of Macroeconomics

March 12, 2026

Instructions

Please answer the following problems on a separate sheet of paper.

Problems

1. It is sometimes suggested that the Fed should try to achieve zero inflation. If we assume that velocity is constant, does this zero-inflation goal require that the rate of money growth equal zero? If yes, explain why. If no, explain what the rate of money growth should equal.

2. Suppose that a country's inflation rate increases sharply. What happens to the inflation tax on the holders of money? Why is wealth held in savings accounts **not** subject to a change in the inflation tax? Can you think of any way in which holders of savings accounts are hurt by the increase in inflation?